Oracle Corporation

Positive Ahead of the Print

Summary

Ahead of Oracle's 4Q/May quarter presumably next week, we preview what we think are the key investor topics and likely FY27 commentary, as well as offer unvarnished feedback from four large customers and partners and one contractor with visibility into the big Abilene, TX, AI data center build-out. Bottom line, we did not pick up evidence of any set-back in momentum and at 27x CY27 non-GAAP EPS, we remain Buy-rated on Oracle shares and constructive on the broader "long-hyperscaler" trade.

Demand Trends and the Abilene Build-Out

Investors care about both the AI impacts on the core database and application software segments (non-IaaS segments are 75% of revs) and the ramp of the OCI/IaaS segment (25% of revs and driving the growth acceleration). Our checks pointed to stability in both the database and apps segments and strong OCI growth trends (this is largely baked into the stock) such that our estimate for 19% c/c revs growth in 4Q/May (middle of the 18-20% growth guidance range) seems very doable. Importantly, one contractor with visibility into the pacing of the Abilene ramp argued that it is on-plan, despite several bottlenecks (especially power transformers).

Potential FY27 Commentary

It seems likely that we get some FY27 commentary from the new CFO. Oracle has already offered a preliminary guide for FY27 revs growth of ~33% to $90 billion and non-GAAP EPS of $8.00. We are focused on three things: 1. The new CFO could explicitly reaffirm (or raise in the case of FY27) the medium-term EPS guide offered back in October 2025. Given the material recent RIF (our checks offered detail on the reduction) and revs that have generally tracked in-line, an EPS reaffirm might come as a relief. 2. Oracle guided to FY26 capex of ~$50 billion and has not guided to FY27. We're raising our FY27 capex estimate from $70 billion to $80 billion (+46% y/y). 3. The CFO could present a "capex ROI" bull case for investors.

Valuation:

Oracle shares are +28% YTD and +81% off the early-April lows. In our view, this rally is rooted primarily in a broader "long compute" trade. At 27x CY27 non-GAAP EPS (33x GAAP EPS) for 30%+ EPS 4-year CAGR, the multiple is not demanding even given the capex and financing burden. We're raising our PT from $250 to $285, based on higher earnings estimates and an assumed CY27 non-GAAP EPS multiple of 31x (from 30x).

Equities

United States

Software

12-month rating	**Buy**
12m price target	**US$285.00**
	Prior : US$250.00
Price (01 Jun 2026)	**US$247.19**

RIC: ORCL.N **BBG:** ORCL US

Trading data and key metrics

52-wk range	US$328.33-136.48
Market cap.	US$720b
Shares o/s	2,914m (COM)
Free float	78%
Avg. daily volume ('000)	4,779
Avg. daily value (m)	US$808.9
Common s/h equity (05/26E)	US$43.6b
P/BV (05/26E)	15.1x
Net debt to EBITDA (05/26E)	2.8x

EPS (UBS, diluted) (USD)

	05/26E			
	From	To	% ch	Cons.
Q1	1.47	1.47	0	1.47
Q2	2.26	2.26	0	2.26
Q3	1.79	1.79	0	1.79
Q4E	1.98	1.98	0	1.96
05/26E	7.51	7.51	0	7.47
05/27E	7.73	8.36	8	7.98
05/28E	10.10	10.87	8	10.81

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Highlights (US$m)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Revenues	49,955	52,961	57,399	67,374	86,506	124,894	171,842	205,117
EBIT (UBS)	20,904	23,054	25,034	28,727	37,686	50,622	68,459	85,420
Net earnings (UBS)	14,177	15,709	17,285	21,897	25,822	34,251	47,709	61,479
EPS (UBS, diluted) (US$)	5.12	5.56	6.03	7.51	8.36	10.87	14.84	18.74
DPS (net) (US$)	1.35	1.60	1.70	2.00	1.99	1.98	1.98	1.98
Net (debt) / cash	(80,294)	(76,208)	(81,365)	(102,893)	(125,176)	(156,795)	(168,397)	(146,566)
Profitability/valuation	**05/23**	**05/24**	**05/25**	**05/26E**	**05/27E**	**05/28E**	**05/29E**	**05/30E**
EBIT (UBS) margin %	41.8	43.5	43.6	42.6	43.6	40.5	39.8	41.6
ROIC (EBIT) %	32.2	27.6	26.7	23.1	21.3	21.3	23.3	25.3
EV/EBITDA (UBS core) x	10.9	13.4	16.2	22.4	16.2	12.0	8.4	6.8
P/E (UBS, diluted) x	15.8	20.6	26.0	33.1	29.7	22.8	16.7	13.2
Equity FCF (UBS) yield %	5.8	4.5	0.0	(3.9)	(5.2)	(3.6)	(0.9)	3.8
Dividend yield (net) %	1.7	1.4	1.1	0.8	0.8	0.8	0.8	0.8

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US$ 248.15 on 01-Jun-2026 18:36:01 EDT

This report has been prepared by UBS Securities LLC. **ANALYST CERTIFICATION AND REQUIRED DISCLOSURES, INCLUDING INFORMATION ON THE QUANTITATIVE RESEARCH REVIEW PUBLISHED BY UBS, BEGIN ON PAGE 20.**

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Key Debates, Our Estimates and Valuation

We present the unvarnished feedback from our checks in the next few sections, but let's begin by reviewing the key investor debates into the print, where we think numbers will land and share our thoughts on the stock's valuation.

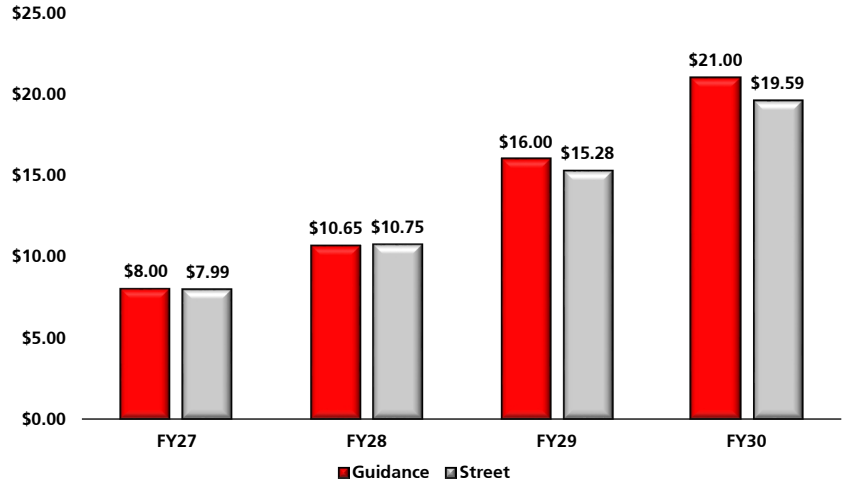
Investor Debates

Ahead of the print next week, our investor calls have largely centered on the following subjects. There is no debate about the overall strength of hosted GPU infrastructure demand, the key driver of OCI growth. Suffice it to say that demand trends look outstanding, evidenced by the sharp revenue and backlog growth acceleration we're witnessing from AWS, Microsoft Azure and Google Cloud. Rather, the inbound questions are more Oracle-specific:

- **Capacity and Financing:** With a $553 billion deal backlog and annualized cloud infra/OCI revs of only $20 billion, Oracle's growth rate is very tied to its ability to stand up and finance AI data center capacity in order to meet this committed demand. With the early-Feb announcement that it will raise $45-50 billion of cash via debt and equity, with no more credit financing required in CY 2026 and that Oracle remains committed to its investment grade credit rating, the financing concerns have abated and questions have shifted to Oracle's ability to stand up sufficient GW of capacity. We address this later in the report, but bottom line, we aren't picking up evidence of material go-live delays.
- **FY27 Capex Guidance:** Oracle guided to FY26 capex of ~$50 billion, implying a step-down to $11 billion in capex in 4Q/May. This print could be an occasion to comment about FY27 capex, which will surely be up materially given the massive pending capacity roll-out to meet OpenAI and other commitments. Ahead of the print, we're raising our FY27 capex estimate from $70 billion to $80 billion (+46% y/y) and believe that the buy-side estimate is closer to $85 billion. In our view a figure closer to $100 billion may be the level that could "spook" investors.
- **Capex ROI:** The expected returns on AI capex has been an investor concern weighing on the hyperscaler stocks for some time but if anything, we sense that this concern is waning as AWS, Microsoft Azure and Google Cloud have posted accelerating revs growth AND solid margin results. Indeed, Oracle's gross profit dollar growth in 3Q/Feb accelerated to 12% from 7-8% in each of the previous three quarters. The margin results from the neo-clouds have been less impressive and hence this concern still weighs on Oracle shares. We expect Oracle's new CFO to comment directly about capex ROI on this pending call, perhaps helping to reassure investors.
- **OpenAI Relationship:** With an estimated ~45% of the $553 billion backlog coming from OpenAI (checks have told us that Microsoft, Meta and Uber represent a large chunk of the remainder), a healthy Oracle-OpenAI relationship is critical for the stock. The one intra-quarter hiccup on this topic was the apparent decision of OpenAI to pass on "phase 3" of the Abilene site, with Microsoft swooping in to secure that capacity. We address this topic later in the report, but in our view that move doesn't speak to any material stress in the Oracle-OpenAI relationship and OpenAI is still signaling that it has near-unlimited appetite for compute capacity.
- **Medium-Term EPS Guide:** On its 1Q/Aug 2025 call, Oracle offered medium-term revenue guidance and then raised these figures and added medium-term EPS guidance at the Investor Day a month later in October 2025. On its most recent 3Q/Feb 2026 print, Oracle said that it will "comfortably meet or exceed its revenue targets for FY27 and beyond" but didn't explicitly reaffirm/update the medium-term EPS guidance. When the new CFO was announced in early-April 2026, Oracle messaged "no change" to its targets, but as we note in Figure 1 below, the Street consensus EPS estimates remain well below the out-year targets. As we highlight in this report, Oracle's Mar/Apr headcount reduction was material and we haven't picked up any material set-back in business momentum, such that there is a decent chance that the new CFO more explicitly reaffirms the MT EPS guide, in our view a potential catalyst for the stock.

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Figure 1: Oracle's Medium-Term EPS Guidance



Source: Oracle, FactSet

- **Core Database and Apps:** Lastly, we believe investors are justifiably concerned about the AI impacts on the core database and application software segments, as these and other non-IaaS segments represent a full 75% of Oracle revenues and an even larger portion of profits. As we note in our checks in the following section, we have not picked up anything to suggest a material negative impact on either the database business (relatively insulated from AI impacts) or even in the SaaS/ apps business (which is very exposed to sticky ERP/Fins apps and benefiting from an on-premise to Cloud/Fusion migration trend).

Financial Estimates & Bogeys

4Q/May Revenue Growth

- **Total Revs Growth of 18-20% c/c:** Oracle guided to 4Q/May total c/c revs growth of 18-20% c/c, compared to 18% last quarter and 13% in 2Q/Nov. Oracle has hit the high-end of their guide in 2 of the last 4 quarters and we're conservatively modelling the midpoint at 19% (against a 3-point tougher compare). Based on our checks, the broader demand/IT spending backdrop for Oracle seems stable and combined with a continued IaaS acceleration, in our view the midpoint at 19% (a material acceleration from 11% in the year-ago quarter) seems doable.
- **IaaS Growth of 92%:** Oracle guided to total IaaS revs of $18b in FY26 (implying 77% growth in USD) which implies $5.7b of IaaS revs in 4Q/May (+90% y/y growth in USD). In 3Q/Feb the IaaS segment grew sequentially by $810m and if we assume a modest uptick in sequential revs growth to ~$900m in 4Q/May we get to our estimate of 92% IaaS growth in c/c. Given that our Abilene checks suggested the project ramp is on track, and that this is the single biggest revs needle mover over the coming quarter, we think this is achievable.
- **SaaS Growth of ~10%:** Oracle's SaaS segment posted 11% c/c growth in 3Q/ February, stable and within the c/c growth rate range of a tight 10-12% every quarter for two years. While Oracle has sounded confident about stable/ accelerating growth for the SaaS business on the back of continued strong bookings, the recent results across the SaaS space have led most to a more muted view of the broader SaaS segment. We're modelling a slight deceleration to 10% c/c growth in 4Q/May which looks achievable (if not conservative) in light of our checks calling for steady growth in Oracle's SaaS segment.

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4Q/May Margins and Capex

- **Gross Profit Dollar Growth:** The material acceleration in Oracle's IaaS growth is clearly coming from the ramp of GPU infra revs, which are landing at considerably lower GMs than the rest of the business. As such, and in light of lingering concerns noted above about capex ROI, our eyes are going immediately to gross profit dollar growth as the earnings results hit. As noted, Oracle's gross profit dollar growth in 3Q/Feb accelerated to 12% from 7-8% in each of the previous three quarters. Against a tougher comp we're assuming 11% growth in 4Q/May but would not be surprised to see upside here.
- **Non-GAAP EBIT Margins:** In each of the last 3 quarters, Oracle's non-GAAP EBIT margins have been down 100-150bps y/y and were 42.9% in 3Q/Feb. The recent RIF should be a material tailwind to mostly FY27 operating margins but given the timing (Mar/Apr), the benefits are likely to drop into 4Q/May as well. As such, we're modeling only 50bps of y/y OM compression to 43.7% in 4Q/May.
- **Capex:** Oracle guided to FY26 capex of ~$50 billion, implying a step-down to $11 billion in capex in 4Q/May from ~$19 billion in 3Q/Feb. This could be timing-related, but in light of the material data center build-out as well as hardware inflation, we and most investors are modeling higher 4Q/May capex. We're raising our 4Q/May capex estimate from $10.9 billion to $15.4 billion.

FY27 Outlook

With a new CFO in the seat, we're unsure how detailed she will be about the initial FY27 guidance but given that Oracle is already out there with preliminary FY27 revs and EPS guidance, we conclude it's likely that she comments and updates.

- **Total Revs:** On the most recent 3Q/Feb quarter, Oracle raised their FY27 total revs guide to $90 billion (+34% y/y) up from the previous guide of $89 billion. Given a tough apps demand backdrop, the conflict in the Middle East and capacity go-live risks, we expect a reaffirm (no raise). We are conservatively modelling only $86.5 billion (+28.5% y/y) of revs in FY27 to account for the risk of data center go-live delays/supply chain constraints.
- **Margins:** While Oracle hasn't guided to FY27 non-GAAP operating margins, the recent RIF should be a material tailwind to FY27 operating margins. While some media outlets have cited the magnitude of the RIF at ~30k employees (~19% of Oracle's total employee base), we conservatively assume a net headcount reduction of ~20k, which at $150k/year per head on average roughly implies a $3 billion annualized tailwind to operating income (a 3-4 point uplift to FY27 operating margins). We assume these RIF savings are phased in evenly over the course of 1Q/August and 2Q/November which drives our revised FY27 non-GAAP operating margin estimate up to ~43.5% from ~40.5%.
- **Capex:** From a revised FY26 capex estimate of $55 billion, we are now modeling capex of $80b in FY27 (+46% y/y) which we believe is necessary to drive the +$18 billion of y/y IaaS revs we are modelling in FY27. We're assuming that the incoming CFO is well aware that shareholders were not happy about Oracle's previous reluctance to disclose its financing and capex plans and will elect to begin her tenure with a much greater degree of transparency.

Valuation and Sentiment

Oracle shares are +28% YTD and +81% off the early-April lows. In our view, this rally is rooted primarily in a broader "long compute" trade given the extraordinary demand for hosted AI infrastructure. As noted in Figure 2 below, Oracle shares trade at 34x CY26 non-GAAP EPS (43x GAAP EPS), above the high end of the peer group of 25-30x for Amazon, Microsoft and Google. Given Oracle's guidance for a 32% FY26-FY30 or 4-year non-GAAP EPS CAGR, these multiples strike us as being reasonable, even if we discount the EPS guidance to reflect various OpenAI and Oracle execution risks as well as the capex and financing burden. Given the strong demand backdrop and checks, we're raising our PT from $250 to $285, based on an assumed CY27 non-GAAP EPS multiple of 31x.

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Figure 2: Comparable Valuation Multiples

Company	Ticker	Price 6/1/2026	% Change YTD	Market Cap	Revenue Growth CY26E	Revenue Growth CY27E	EV/FCF CY26E	EV/FCF CY27E	Non-GAAP P/E CY26E	Non-GAAP P/E CY27E
Oracle Corp.	**ORCL**	**$249.58**	**28%**	**$725,088**	**24%**	**36%**	**NM**	**NM**	**33.7x**	**27.2x**
ServiceNow, Inc.	NOW	$134.89	(12%)	$145,172	22%	19%	22.7x	18.7x	32.5x	26.7x
Amazon.com, Inc.	AMZN	$262.66	14%	$2,825,462	15%	13%	NM	NM	29.9x	26.1x
Alphabet, Inc.	GOOG	$373.73	19%	$4,648,206	21%	19%	NM	NM	26.3x	25.4x
Microsoft Corp.	MSFT	$461.05	(5%)	$3,462,686	17%	17%	49.8x	76.2x	25.4x	21.8x
SAP SE	SAP-DE	$167.90	(19%)	$197,332	9%	12%	18.0x	15.8x	23.3x	19.9x
Autodesk, Inc.	ADSK	$247.72	(16%)	$53,413	14%	10%	17.7x	15.9x	20.0x	17.6x
Salesforce, Inc.	CRM	$209.50	(21%)	$177,089	11%	10%	12.5x	11.4x	15.1x	13.6x
Workday, Inc.	WDAY	$156.81	(27%)	$38,731	12%	11%	11.5x	9.9x	14.8x	12.6x
Adobe, Inc.	ADBE	$272.93	(22%)	$113,894	10%	9%	10.2x	9.5x	11.5x	10.2x
Mean:			**(6%)**		**15%**	**15%**	**20.3x**	**22.5x**	**23.2x**	**20.1x**
Median:			**(14%)**		**14%**	**12%**	**17.7x**	**15.8x**	**24.3x**	**20.9x**

Source: FactSet, UBSe for Oracle

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Feedback on Demand Trends

Let's now turn to the unvarnished feedback from our checks on the health of demand for Oracle's overall product suite before turning to AI infrastructure capacity feedback in the next section. We organize the checks feedback by key topic.

Overall Demand Trends

Our checks pointed to steady demand with pockets of strength in OCI and database, but not a step function growth acceleration. The largest Oracle partner we spoke with noted their Oracle practice is "going to end up close to 15% y/y growth," with pipeline "up 10% y/y," suggesting healthy demand. Another partner check came in several points ahead of their practice growth target, in the same ballpark at 14% growth. While the majority of Oracle's growth will be driven by large AI infrastructure projects that the above checks did not necessarily have insight into (discussed in the next section), the overall demand backdrop for Oracle sounded constructive.

Partner 1

- *Our Oracle practice revs will end up around $3.3 billion in FY26 (we're on the same fiscal as Oracle) and we're going to be close to 15% year-over-year growth. Our pipeline is up year-over-year, around 10% from where it was last May. For the coming fiscal year we are targeting 13-15% growth. It's going to be somewhere between 13% and 15% because we want to double the business by 2030.*

Partner 2

- *We do everything with Oracle, including OCI, Fusion, NetSuite, JDE, as well. My Oracle practice for the most recent calendar quarter grew at 13.6%. It actually beat the plan. The plan was 11%–12%. Pretty sizable beat there.*

OCI Growth

Our checks were generally consistent that OCI growth was healthy with our checks citing multi-cloud database demand and sovereign cloud workloads as the two biggest drivers. The largest partner we spoke with noted their OCI services revenues were up ~150% y/y, another said OCI was the biggest driver of its Oracle practice beat, and a third described OCI as its "fastest growing hyperscaler," growing well north of 30% and now in the mid-30% range, up ~5 points from a few quarters ago. Net, these checks pointed to continued growth in the CPU (still the largest from a revenue standpoint) and database segments of OCI.

Partner 1

- *I will tell you from an OCI perspective, we've seen a significant increase year-over-year. We're up 150% globally in our OCI services business, which is obviously very encouraging.*
- *The biggest driver of our OCI strength? I would say number one is multi-cloud for sure. The second driver on the OCI services side would be sovereign cloud. The multi-cloud region story is gaining momentum, they've been bringing this online in Europe over the last 60 days, and obviously in Asia Pacific. We saw tremendous momentum in the last 12 months in the North American market, and now we're seeing tremendous momentum in EMEA and also Asia-Pacific. The multi-cloud reality will continue to be a big catalyst and a tailwind because now clients can unlock that stranded data, they can take advantage of their hyperscaler commit and contract. They can also leverage the Oracle database and do that using the multi-cloud orchestration that Oracle now allows them to do. I think those two drivers are what I call significant catalysts and tailwinds for their growth. I think the sovereign cloud also continues to be a big driver. We believe that you're going to see more and more of that sovereign cloud, especially given the geopolitical situation that's happened in the last few months with Iran.*

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Partner 2

- *Most of the beat for this quarter was driven by OCI. I have to be a little careful here. Careful in the sense that within OCI, there is the Oracle database, which is multi-cloud. That is growing upward of 80%. Then there is the autonomous database that is growing at about 15%. The core OCI practice is getting a boost from modernization initiatives, which is your refactoring of existing apps. When you're porting them onto the cloud, you're basically rewriting them, and you're rebuilding them.*
- *The multicloud database opportunity is massive. It basically maintains your performance in a very spotless manner. Because see, previously, when you used to host your X database on a Y platform, that whole problem of nativity or lack thereof, compatibility, interoperability used to surface. Then you had to perform engineering to actually drive the best performance, and that, too, under certain conditions. All that has been eliminated because these are now, when I say these, meaning Oracle databases natively run inside AWS, Azure, GCP. Of course, within those, it's not as seamless. In my field experience, I would say Azure is the number one, followed by GCP, followed by AWS. Take it with a pinch of salt because that's a field test. We have a few medtech clients who have actually done this, and they have availed a lot of successful results, like running Oracle Autonomous, staying inside the Azure data centers for a mission-critical app. The advantages are the same, like latency, architecture, and continued use of your schemas in Oracle DB within the Azure infrastructure, as an example.*

Partner 3

- *OCI is definitely my fastest growing hyperscaler, growing well north of 30%. It is growing very fast, mainly driven by the Exadata appliances, sitting in other people's data centers and their own, that's attached to ELAs. If you disconnect Oracle's core IP, like apps, databases, Fusion, NetSuite, Hyperion, all that stuff on Java, and like that base infrastructure is growing on its own. I would say no. Overall OCI growth is accelerating for us, it's now in the mid-30% range, up around 5 points from where it was a few quarters ago. Overall our Oracle practice is doing very well though, our ELAs are almost always bigger and significantly bigger these days.*
- *In terms of AI pull-through to the software business of Oracle. It's helping a bit, but it's secondary. It's based on inference output. If your agent is creating a lot of output fast that needs to populate third-party database, and that Oracle database, the number of cores it's running also grows very fast. It's a second-order. There's nothing unique about Oracle's offering that drives the tokens through Oracle, but it's what you're doing, and then what's pumping out. If it's an application that connects to databases, there's a new application now consuming database licensing or CPU cycles. That's helping Oracle. It's a new instance. These things can create more instances of things that can touch databases or other files faster than a human being can create. I think that's what the acceleration is, not necessarily a specific AI-enabled SKU.*

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Core Database Business

Again, the feedback pointed to overall stability in Oracle's big database business. We were most interested in the comments from Customer 1 below, given their opinion that a) AI and in particular database features such as vector embeddings were making core databases MORE relevant and b) Postgres-based databases are gaining in popularity, with a positive early read on Microsoft's new Postgres-based HorizonDB database.

Customer 1

- *Today we're still predominantly Oracle in terms of our database layer. It is still our number one database platform in the bank. Having said that, by the end of the year, I believe it will no longer be number one. Right now, our database footprint is about 50% in Azure, 50% on prem. And I would say we have more Postgres in Azure than we have on prem. And same thing with Microsoft SQL Server also, but Oracle is predominantly on-prem today for us.*
- *Traditionally, databases are data sources, or storage engines depending on how you look at it. Over time, in the last year plus or so, we see a lot of the vendors, whether it's Postgres, or Microsoft, or whoever it is, they have put a lot of the features like vector embeddings, in database embeddings, graph extensions, and so on. All of these things are very, very relevant because it helps you vectorize the data, whether it's structured, unstructured, doesn't matter. It helps you map all of these things, and store it in one place where you can pull the data, and do a lot of different things. So, whether it's retrieval augmented generation, or building a map of all the relationships of different database sources, and data elements, and so on. This is the first area where I see the databases are playing a very important role when it comes to AI.*
- *The interface to databases is primarily SQL, but these days it's more about expressing your intent, which means you can have a non-technical person who says, "I need to find something from the database." And you can put that in simple natural language. And when you put that in, the model basically translates that, it creates a plan, it creates a query, returns the set, and it also plans an action on that. So, this is a big change that I'm seeing in the database space. A lot of our internal AI applications are basically using Postgres, or Azure Cosmos whatever it may be for these types of things, either for memory store, or for vector embeddings, or long term memory sitting in the database, and data catalog, and describing the ontology, those types of things.*
- *Let me turn to why Postgres is leading the database market today. A lot of Postgres is all about the core engine, that remains the same, but you build all these extensions, whether it's a graph extension, or you build a vector, PG vector is what they call it, or Gremlin that's in the Cosmos space. But these types of things, when you build them, and DuckDB is a new one, just announced that last week, which will help us put columnar data into these things. So, it's basically one database. The engine remains the same, but through the extensions you can make it look very different for different types of applications. So, you can keep your core set of DBs the same, but you can satisfy different types of workloads.*
- *On Oracle Database at Azure, we've had quite a few discussions on the technical limitations of what was available. I'm happy to say that both Oracle and Microsoft have resolved many of those issues. So, things like data encryption at rest that's been resolved, integration with EntraID, which is very important for all the access management that has also been resolved. So, all the big blockers have been resolved. There are still some challenges in terms of how we control the backups, or fine-grained access control, which is also very important because we are a bank, only what we are supposed to see we should be able to see. Those things are still missing, but they're not blockers. But while we have Oracle Database@Azure in backlog, it is not a priority for us right now, primarily because the hardware that we have on-prem is still good for a few more years. And I believe as that becomes end of life, we are not going to invest anymore, and bring more hardware on prem. So, we'll be looking at other options.*
- *On-prem, our database estate is pretty static. I mean, we work with a vendor, or let's call them a partner who is very big in the open source community. They commit the most amount to Postgres, and it's good to have them as one of our vendors who supports us. Having said that, when we go to Azure, in the last few weeks, and few months, the Flex server, which is an offering in Azure has really*

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made, they've made a lot of changes, and we work very closely with the Azure product group, and they take our input. And a lot of the things that we have asked for, they've included that in the Flex server, which I guess all the consumers of Flex are using. A few things that I can talk about are, recently they made the SSD v2 version available, and with that you can support up to 64 terabytes of databases, and now we are talking about very high throughput systems, and so on.

- *So, those are some of the things that they have done. And the one that we are really looking forward to is Microsoft's Postgres-based HorizonDB. So, this was in the works for the last, for a few years, let's say. They have been delayed, but it's now available. They have support for private endpoints, which is a key requirement for us. We hope to make it available for internal consumers by the end of this year. And at that point, I believe it will unlock migration of very large databases. These are hundreds of terabyte databases onto HorizonDB. Initially, they're saying they will support up to 128 terabytes, but I believe that will only get higher over time.*
- *In terms of AI, databases shift from just being a data engine, or a data repository to more of an inference adjacent system is what I would call it. When you have vector capabilities in the database, when you have semantic capabilities in the DB, these types of things, it makes searching for what you're looking for a lot easier because these are complex vectors that you can store in the database. AI systems can easily query that. They can get whatever answers they're looking for from that, and take whatever action they need to. So, databases, I believe, will move closer to the inference layer rather than just being a simple data store. And also, I believe when you're designing the databases, it'll be no longer for just storing data, but understanding the meaning of the data, which is where the semantic part comes in.*

Partner 2

- *The traditional database business is growing in the mid-single digits, barring MySQL, MySQL HeatWave, which is growing upward of 25%. At, actually, 28%.HorizonDB does come up, but it's very new. It does have, fundamentally, a competing architecture, a scale-out architecture. It was brought up by one customer in the context of Aurora of AWS, but yet to be seen. That is there, yes.*

Partner 3

- *Oracle is my fastest-growing hyperscaler, largely driven by bare metal databases running OCI in third-party datacenters, the multi-cloud offerings with Azure, AWS and GCP. This is one of the most clever things, where Oracle has taken their Exadata appliances that can run high-performance bare metal Oracle databases and have agreements with AWS, GCP, and Azure to run them in their data centers. What you have is customers that have both customer agreements with GCP or AWS buying Oracle Cloud from AWS. If you have Oracle databases and there are hardware platforms that are optimized to run it, they're getting it either directly from OCI or OCI running in third-party data centers, like Hyperscaler data centers. Because they have a lock on the platform, the database, they can get that OCI business from themselves and their data centers, which are significantly cheaper than infrastructure storage, network, and compute, or get it from AWS or Microsoft. I think this speaks to, unlike AWS, where Oracle has a platform that is their fortress business that can extend into other people's clouds. I think for me, that's the majority of my OCI growth. I don't have customers come in outside of databases, and some apps like Fusion, asking for OCI. I don't have customers saying, "I want to buy a ton of storage, and I want to use OCI storage." Their selling motion is not like that.*
- *Oracle OCI data centers are different than Microsoft and Amazon's. The main thing that customers want to get from OCI is Oracle databases optimized on Oracle hardware, Exadata hardware. The smart thing they did was, "Well, if our data centers or our cloud environments are not usable for you, get it from someone that has sovereign cloud in Singapore, like AWS, you're using their data centers, their contractual vehicles, and we have our Exadata appliances sitting in there for you to run, and you can pay AWS and you can get access to OCI, all of the OCI cloud."*

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- *I've never had customers with large-scale Oracle databases exit to MongoDB or Microsoft SQL Server or anything like that. Oracle is always — my customers tend to be large enterprise. There's never been a candidate for exit anyway. It's either you run it on-premise, or you run on a cloud service provider's virtual machine to run Oracle. That's the benefit of OCI, if you're running Oracle databases, literally it's sitting on premium Oracle appliances that are optimized for Oracle databases. You didn't have that in the past. You just had virtual machines that Microsoft spun up. Now you can get access to the best of what you want from OCI for your databases from somebody else. The better part of it, you don't have to pay Oracle. You can pay AWS directly or GCP directly, and they pay Oracle, and it comes toward your commitment. That's the fastest-growing OCI business right now is porting on-premise Oracle licensing, and then some of the apps like NetSuite to Fusion or Hyperion to Cloud using AWS, but using Oracle's appliances, running Oracle database, running OCI inside AWS cloud.*
- *If you're spending $10 million per year for your Oracle maintenance and you migrate into Database@Azure. It's similar to SAP's RISE, where you get the infrastructure from the software provider. It's about 20% of license value. If you're paying $10 million for Oracle databases, you're probably paying $2 million of infrastructure, which you're paying to AWS if you have this solution. You pay the full $10 million to AWS, and then AWS pays Oracle. You don't have to pay Oracle. It comes with one lump fee, and you actually pay through the marketplace, I believe. About 20% is infrastructure. So think about it as a 20% spend uplift, split between Oracle and the hyperscaler. Azure in this case.*
- *Oracle was just very late to the cloud game which is why they went down this route. Most large enterprises have multi-year 10, 15-year, five-year bulk purchase agreements. Those are not escapable. It's hard for them to muscle in on existing customers that have big bulk purchase agreements, and most enterprises do. Microsoft and AWS have locked up large enterprises with bulk purchase agreements. It would be very hard for Oracle to penetrate that business with OCI cloud. The ideal situation is to get that database floated into OCI data centers like the native data centers, but that's a much harder proposition because now the end customer has to manage two separate hyperscaler agreements, where you now have commitments to two, as opposed to dealing with one you've already signed. I think that's the main reason.*
- *Native OCI isn't doing so well on the other hand. I would say, just without the databases, just storage, network, compute, like the base infrastructure. That's a very low percentage of my business. I don't have a lot of workloads not running an Oracle product running in OCI, just naked storage or backup data. It's not sold like that. It's usually bundled with somebody's ELA. They go, "Hey, I run $100 million of databases, now I'm up to my three-year contract, subscription is up, now I got to pay for Java, now they're going to jam me, well, I'll buy OCI, and I'll get like a 40% discount, 50% discount because I have this huge licensing volume." It's typically the way they sell it. If you're asking discrete OCI storage, network, compute, is that growing on its own? I would say no. It's all Oracle workloads running on OCI.*

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The SaaS/Apps Business

The overall outlook for SaaS growth for Oracle sounded stable rather than accelerating or decelerating. Our checks pointed to improving Fusion momentum, with AI feature enablement moving from less than 10% of customers ~18 months ago to over 70% today, although monetization still sounded early. One large partner noted, "*Fusion is doing quite well, my Fusion practice clocked in at about 22% this quarter. For NetSuite a little bit lower than that, about 18%.*" Given the broader weakness we've seen in the SaaS space to date, we're hesitant to underwrite upside here, but we do feel incrementally confident SaaS growth for Oracle at ~10% can be at least stable from here.

Partner 1

- *If you look at apps, it's still around 80% of global customers that have not moved to Fusion. The Fusion customer base is hovering right around 17,000. At the end of the day, you still have thousands and thousands of customers that have not gone full Fusion. We're now at 70% of this base that is provisioning some AI-embedded capability. Now they have a studio for developing your own agents. Now they have, as of two months ago, the 22 agentic apps as a Fusion customer that you can leverage for end-to-end process orchestration and automation. Customers are still in the early stages of provisioning that. This is going to be a catalyst. This is going to be a spark. This is going to be the uptick on converting that last mile of those on-premise who've not yet made the commitment to go to Fusion.*
- *The theme of really bringing AI into the entire enterprise is absolutely front and center. I think the reality of adoption of what they're seeing is significant. When you look at where they were 18 months ago in terms of how many of the customers actually had turned on any of the embedded AI capabilities, it was a very small percentage, less than 10%. Now, it's over 70% of customers in Fusion have actually provisioned and turned on that embedded AI capabilities. What it shows is that staying stagnant with the old Oracle on-premise is no longer a viable strategy because I have to modernize, I need to transform, and I need to become innovative as an enterprise, or I'm actually putting my enterprise at risk.*
- *In terms of SaaS pricing, we're not seeing any changes in discounts. When I look at discounts on what Oracle is proposing to clients right now globally, I'm not seeing anything that strikes me as an outlier. In fact, one of the things they've introduced in the last few months, which I actually was a fan of, this whole Fusion suite-based pricing, which they introduced in the last three months. You think back to what they did 25 years ago with the EBS, suite-based pricing, very similar concept. They took individual modules within the Fusion portfolio. They grouped them together, and now you actually pay less than doing a la carte by basically buying the suite. Now, here's the advantage for Oracle. For instance, this client is now getting HR, even though they didn't necessarily want HR and they were looking at Workday. Now that you own the entire set of Fusion, the Fusion suite-based pricing, you can do procurement, you can do your finance, you can do your performance management, all that other stuff that you want to do, including the agents. When you're done with that project, instead of you having to go to market and go to procurement to go tender and potentially subscribe to Workday, you can leverage Oracle.*

Partner 2

- *Fusion is doing quite well, my Fusion practice clocked in at about 22% this quarter. NetSuite a little bit lower than that, about 18%. The cloud migrations, again, facilitated by OCI are playing a key role. We also have a number of JDE migrations. Like I said, my customer base is a little bit conservative in that regard. They are still using, or they were using, JDE. Over the last few months, we have migrated at least seven instances to OCI. That's doing well. Oracle HCM is also doing well. Its growth rate is very similar to Workday's. I also do Workday's. Workday is a part of my portfolio. Oracle HCM cloud grew at very close to 10%, and Workday closed at about 10.8%.*

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The Big Layoff in Mar/Apr

When we pressed our checks on Oracle's recent RIF (see here), which the media has suggested could have impacted as many as ~30k employees, they noted the headcount reductions were broad-based, but that pro services in particular was impacted along with "massive cuts" across sales engineering / pre-sales / architects / alliance management, and some R&D cuts in "non-strategic areas". Importantly, the same partner was explicit that the RIF was "not disruptive to their growth in the quarter". Additionally our check didn't really push back on the magnitude being as high as 30k ("not surprised").

Partner 1

- *On the RIF, what I've been exposed to is, number one, a downsizing of the pro services organization. All of the industry solution consulting services, which was a separate P&L, all of those consulting organizations are being consolidated. There will be a single P&L owner for North America, for Asia Pacific, and for EMEA. There were significant numbers impacted in terms of their organizations coming together, because services is not going to be a strategic priority and focus of Mike and Clay and the leadership team at Oracle. The second one is the redundancy of coverage. A lot of the go-to market sales engineering, pre-sales, architect, alliance management, there are massive cuts in those organizations because you no longer need duplicative coverage. That allows Oracle to trim, and simplify, and synthesize because they're basically now consolidating into that One Oracle construct. You don't need four sales reps covering one account, you can simplify that. That also allows you to evaluate the talent, and the high performers you keep, and those who are low performers you get rid of. The third area is that there were some R&D cuts, but those were in non-strategic areas where Oracle does not see growth. I don't have specifics on that, but in my conversations over the last two months, there were some R&D, but not in the strategic high-growth areas. They also experienced some cuts. That is the composition of the headcount reductions that have happened.*
- *There were a lot of GVPs, SVPs, even a couple of EVPs that have moved on. There'll be another trimming that will take place in the first two weeks of June. I'm hearing that there'll be another round of trimming in the first couple of weeks of September, which starts 2Q for Oracle. I think by the time they get to mid to late 2Q and AI World in Vegas has taken place, all of the cuts will be there. All of the new structure and how they're supporting customers will be in place. Obviously, the machine will be up and running, but all of these disruptive changes and headwinds around org absorption will be behind them at that point in time.*
- *The RIF was not disruptive to their growth in the quarter. The Middle East exceeded their forecast. Not only did they make plan, they exceeded plan. Which in the light of the headcount reductions in March, in light of the Iran conflict, for a region to continue to excel and exceed numbers to me is significant. It speaks to the strength of the Oracle growth machine that is multifaceted. When there are headwinds and disruptions like Iran, geopolitical, or a headcount reduction announced the first week of March, they can absorb that without it derailing the growth and the revenue machine that they are realizing as an entire company and as an entire platform.*

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Abilene Contractor Check

Given that the build-out of Oracle's big Abilene, TX, data center campus is a key incremental revenue driver for Oracle OCI over the coming quarters, we also spoke with a construction contractor currently involved in the Abilene project to get a sense around project timing and potential delays. See his unvarnished comments below. Abilene is critical to the Oracle story but of course it isn't the only AI data center site that we're monitoring. In March, OpenAI tweeted that "construction is underway at our site in Port Washington, WI… where the first steel beams went up just this week" (Vantage and Oracle are bringing the site online).

Scale of the Project

Our check confirmed the ultimate scale of the Abilene project at 2 GW, with the first 10 buildings either finished or "under roof" (exterior finished, interior being built out) and amounting to 1.2 GW. The final phase of 800 MW was recently secured by Microsoft (see below). Note that a few weeks ago the CEO of Crusoe (which is building the Abilene site) disclosed an ultimate scale of 2.1 GW at Abilene (in-line with this GC's estimate). Oracle has disclosed that it has secured 10 GW of power, such that the Abilene site represents roughly 1/5 of what Oracle needs to bring online over the next 3 years.

- *I've been involved with the day-to-day on Abilene and the Stargate Project, the flagship project there in Abilene for Oracle, OpenAI, SoftBank and Crusoe being the big developer out there. Of the 10 buildings that are under construction or under roof right now, if you were to line up 22 Super Walmart buildings, that wouldn't be large enough. Each of the 10 buildings, like I said, we're looking like 500,000 ft², something like that. Actually, buildings nine and 10 are even larger than that. Really huge. 2 GW in total is what it's heading toward. The first eight buildings are 100 MW. The nine and 10 are 336 MW each, something like that. That's another 732 MW. They've gotten a lot bigger. They've more than tripled in size. Two gas power plants on site for a total of 720 MW of on-site power, 1,100 acres, 9,000 construction workers, parking lot for 7,000 workers on one shift for cars, I should say 7,000 cars or vehicles. You've got some GE Vernova small gas turbines, you've got the CAT Solar Turbines, you've got Bloom Energy fuel cells. Really, to start out, you've got behind-the-meter power, but eventually you'll have a grid connection and a substation under construction. Crusoe is probably my largest customer, and we haven't done other Oracle jobs.*

Pace of Capacity Ramps

It is the pacing of capacity adds that we really care about, as this serves as a fairly immediate Oracle OCI revenue unlock. As noted below, this GC indicated that 300 MW (3 buildings) are now up and running, with another 100 MW (building 4) going on-line in July and the remaining 800 MW (buildings 6-10) going on-line through the end of 2027. A few weeks ago the CEO of Crusoe disclosed that in April 2025 "building 1 rent" (100 MW, from Oracle) commenced, in March 2026 the expansion for buildings 9-10 was signed (with Oracle) and in July 2026, building 8 (bringing live capacity to ~800 MW) will be complete. That appears to be an even faster timeframe to get to the first 8 buildings than the GC indicated.

Some investors may recall that we visited the Abilene site in May 2025 (see a link to our "On the Ground in Abilene" report here). At the time, contractors told us that "phase 1" (the first two buildings, 200 MW) will be "energized" in 1H25 (and would go into production in 2H25) and that "phase 2" (the next 6 buildings) would be energized in mid-2026 (and would presumably go into production in 2H26 or 1H27). The statement above that phase 2 would be done in July 2026 exactly meets the initial "mid-2026" timeframe that we heard a year ago. In other words, despite several media stories about the Abilene site being delayed, it really isn't, despite (as noted below) many component hiccups. Oracle responded to the stories about delays, tweeting in March that "recent media activity about the Abilene site are false and incorrect… two buildings are completely operational (with 200 MW operational) and the rest of the campus is on track". As noted above, our GC check said that in fact 3 buildings for a combined 300 MW are now live, supporting Oracle's statement.

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- *I'd say basically 300 MW are pretty much tested and ready to run, so the first 3 buildings are up and running today. We do have the 300-plus PowerGen facility up and running now. We have another 100 MW coming and that probably comes online in July, that will be the next chunk of capacity. For the rest of the capacity I'd say it's going to be evenly spread over the next 18 months or so, say through 2027. From January 21st of 2025, the announcement about the Stargate Flagship Project in Abilene, to having what we could call 300 MW operational now, less than 18 months later. It's pretty impressive. I don't know of other developers that have been able to do similar feats, like other companies may say, "Yes, we'll have that 100 MW ready for you in two or three years." Even though the project may be delayed from what Stargate said it was going to be, it's still faster than any other project I'm aware of.*

Microsoft Secures Phase 3, OpenAI Passed

In late-March 2026, OpenAI (the ultimate customer for the first ~1.2 GW in Abilene) passed on the "phase 3" capacity of an additional ~800 MW (OpenAI said that "we considered expanding Abilene further, but ultimately chose to put that additional capacity in other locations"), allowing Microsoft to swoop in and secure that capacity. Our check confirmed this sequence of events and argued that a) OpenAI wanted more inference (not training) capacity, b) Crusoe secured better terms with Microsoft than with Oracle/OpenAI and c) Microsoft is planning to heavily customize the Abilene site.

- *There's been a hyperscaler switch for the other 800 MW of available power in Abilene. OpenAI only wanted the first 1.2 GW, and Microsoft came in for the other 800 MW. When OpenAI decided to focus more on inference data centers, and go elsewhere for more, it took all of about one day for Microsoft to come to the site and visit the site and say, "Yes, we'll take the other 800 MW." Really, it was a good thing for Crusoe. They were getting frustrated by OpenAI anyway, so they were able to get a better deal by moving this capacity to Microsoft. To be able to lease it to someone else in one day basically was pretty impressive, I thought.*
- *The incremental 800 MWs was always a question mark. OpenAI really hadn't done a lot of big data centers like this before. The 800 MWs that Microsoft took is being heavily customized. To clarify, buildings nine and 10 are 336 MW. Buildings one through eight are 150 MW. The buildings nine and 10 are about 30% more power dense than the other first eight buildings. It's got the next-generation liquid-cooled chip architecture and the NVIDIA GB200 chips. Chips have not been a bottleneck. NVIDIA is putting the chips out quickly. You said the liquid cooling chip architecture could be a risk with building nine and 10. It's more of a conventional rectangular design with a dedicated central utility plant building. That was an element that was not absent from the first eight buildings. Nine and 10 did not have that angled layout with the local utility routing. It's really designed for Microsoft's AI factory workloads. It's more custom, I guess you would say, they do have a massive behind-the-meter power plant for Microsoft with the GE natural gas turbines. It's heading toward something like 900 MW behind-the-meter.*

Go-Live Bottlenecks

As noted, it appears as if Crusoe, Oracle and OpenAI have been able to keep the Abilene site roughly on time DESPITE what have been persistent component delays. Indeed, our check was clear that the pace of the capacity go-live has been hampered by delays in high-voltage power transformers in particular (we've heard this before, with checks saying that Eaton Corporation is the supplier), but also gas power plant capacity, concrete foundation and labor (electricians, HVAC technicians). Bloom Energy is another Abilene component supplier but this check said that "they don't seem to have any issue getting the Bloom Energy fuel cells".

- *There were a number of pain points. I think the biggest pain point was transformer deliveries and quality issues with the transformers. Number two was delays with the gas power generation plant coming up and running. The third one would probably be concrete foundation delays, not getting enough concrete delivered on a daily basis and arching over everything is the lack of available labor and skilled labor to have 9,000 construction workers at a job site like this. Pretty remote area, small town, never having done a project this large before in Abilene. That just makes everything challenging, I would say. These are the medium voltage transformers that are on every — for the first eight buildings, about 1,100 medium voltage transformers. It's not the substation equipment. It's not the high-voltage*

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equipment. Many companies sell it. There's lots and lots of medium voltage transformer companies. It's a lot easier to do the medium voltage transformers than the main power transformers, which are the high voltage ones. These are the step-down transformers that make it safe voltage levels for all the IT equipment. Stepping down the medium voltage to lower voltages. There are large quantities of those outdoor ones, electrical ones.

- *Transformers were failing on-site. There was a lot of corrosion going on inside of the transformer oil tanks due to there being sulfur in the oil. Contaminated oil that turned out to be counterfeit transformer oil that had sulfur content in it. After a certain amount of cycles, and these cycles a lot, the sulfur would become very corrosive, and it would start to corrode away the parts inside of the tank, even the silver parts. That's the quality issue I'm referring to. It was not the authentic Cargill transformer oil that they thought they were getting.*
- *You have to take all the transformers off-site to a warehouse, drain the oil and inspect all the parts. Clean the parts, inspect the parts, determine if the parts could be just replaced, the ones that were too corroded, if they could be replaced, or if you just needed new oil. You typically replace some parts because of the corrosion is causing the problem. In some cases, scrapping the entire transformer and just building a new one. It's a pretty major issue affecting hundreds of the initial 1,100 transformers, and that led to major delays. Literally everything else was done with the wires hanging out, hanging down from the ceiling, waiting for the replacement transformers to arrive so that they could be installed with workers standing there with tools in hand, waiting for these transformers to come off of trucks. It became the big bottleneck.*
- *In terms of equipment bottlenecks. Nothing comes anywhere close to the problem that all these transformers caused, having to build them all twice, having to rework them, having the quality issues, having to uninstall them and install them and inspect them and find new vendors that could meet quality standards. That was the big one. The power equipment delays were not necessarily late vendors, but just really long lead times, and that can delay the power plant. I'm talking about the gas turbines, and the other vendor material delay was the concrete. Needing to get concrete delivered every single day was not something the vendors were able to do. There wasn't enough batch plants set up. There wasn't enough local supply chain for the concrete needs of the project. That caused some delays as well. That was more early on in the project, where you're pouring the concrete foundations. These are very robust concrete foundations designed to handle the huge weights and also seismic loads of small earthquakes, something like that, or any shifting of the soil. You can't afford to have your data center go down because your foundation wasn't compacted enough, and your foundation shifted. It's robust foundations.*
- *The biggest pockets of labor shortage have been electricians and some of your HVAC technicians, electricians being the big one. The electrician drain there. Less immigrant labor as well. Generally, 34% of construction workers are immigrants. Then you get into poaching. Cannibalization, wage poaching, that type of thing. There has been more of an influx of roughneck oil workers getting trained to become electricians and tradespeople for data centers, and moving from the oil and gas market into the data center construction market. A lot of the local homebuilders in Abilene have been struggling to finish residential projects and duplexes because they can't retain licensed electricians that are needed for the basic residential wiring, because those people have been poached onto the data centers.*
- *For the rest of the project I think the biggest risks will be the gas-powered equipment, the gas turbines, some of the high-voltage equipment on substations, the continued medium-voltage transformers and switchgear. I put switchgear in there as well. I wouldn't expect to have concrete issues again. We won't have the issues with the temp power, the generators. Because getting 90 MW of temp power on the site and getting that set up was also a big challenge. They don't seem to have any issue getting the Bloom Energy fuel cells.*

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Oracle Corporation (ORCL.N)

Income Statement (US$m)	05/23	05/24	05/25	05/26E	%ch	05/27E	%ch	05/28E	05/29E	05/30E
Revenues	**49,955**	**52,961**	**57,399**	**67,374**	*17.4*	**86,506**	*28.4*	**124,894**	**171,842**	**205,117**
Gross profit	36,982	38,536	41,313	45,136	*9.3*	54,460	*20.7*	69,590	88,987	105,971
EBITDA (UBS)	**23,430**	**26,183**	**28,901**	**36,431**	*26.1*	**50,316**	*38.1*	**72,007**	**102,953**	**128,581**
Depreciation & amortisation	(2,526)	(3,129)	(3,867)	(7,704)	*-99.2*	(12,630)	*-63.9*	(21,385)	(34,494)	(43,161)
EBIT (UBS)	**20,904**	**23,054**	**25,034**	**28,727**	*14.8*	**37,686**	*31.2*	**50,622**	**68,459**	**85,420**
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	0	0	0	0	-	0	-	0	0	0
Net interest	(3,967)	(3,612)	(3,518)	(1,526)	*56.6*	(5,609)	*-267.5*	(8,075)	(9,194)	(9,048)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**16,937**	**19,442**	**21,516**	**27,200**	*26.4*	**32,077**	*17.9*	**42,548**	**59,265**	**76,372**
Tax	(2,760)	(3,733)	(4,231)	(5,303)	*-25.3*	(6,255)	*-18.0*	(8,297)	(11,557)	(14,893)
Profit after tax	**14,177**	**15,709**	**17,285**	**21,897**	*26.7*	**25,822**	*17.9*	**34,251**	**47,709**	**61,479**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	(1,421)	(2,704)	(4,506)	(4,815)	*-6.9*	(4,504)	*6.5*	(5,104)	(5,704)	(6,304)
Net earnings (local GAAP)	**12,756**	**13,005**	**12,779**	**17,082**	*33.7*	**21,318**	*24.8*	**29,147**	**42,005**	**55,175**
Net earnings (UBS)	**14,177**	**15,709**	**17,285**	**21,897**	*26.7*	**25,822**	*17.9*	**34,251**	**47,709**	**61,479**
Tax rate (%)	16.3	19.2	19.7	19.5	*-0.9*	19.5	*0.0*	19.5	19.5	19.5

Per Share (US$)	05/23	05/24	05/25	05/26E	%ch	05/27E	%ch	05/28E	05/29E	05/30E
EPS (UBS, diluted)	5.12	5.56	6.03	7.51	*24.4*	8.36	*11.4*	10.87	14.84	18.74
EPS (local GAAP, diluted)	4.61	4.61	4.46	5.86	*31.3*	6.90	*17.9*	9.25	13.07	16.82
EPS (UBS, basic)	5.18	5.64	6.10	7.58	*24.3*	8.40	*10.9*	10.93	14.92	18.85
DPS (net) (US$)	1.35	1.60	1.70	2.00	*17.6*	1.99	*-0.6*	1.98	1.98	1.98
Cash EPS (UBS, diluted) [1]	6.04	6.67	7.38	10.15	*37.4*	12.45	*22.7*	17.65	25.57	31.90
Book value per share	0.57	3.33	7.55	14.99	*98.6*	26.79	*78.7*	35.15	47.38	63.29
Average shares (diluted)	2,766	2,823	2,865	2,917	*1.8*	3,089	*5.9*	3,152	3,215	3,280

Balance Sheet (US$m)	05/23	05/24	05/25	05/26E	%ch	05/27E	%ch	05/28E	05/29E	05/30E
Cash and equivalents	10,187	10,661	11,203	31,712	*183.1*	9,429	*-70.3*	2,810	6,208	28,039
Other current assets	10,817	11,893	13,376	16,619	*24.2*	23,570	*41.8*	36,738	56,204	68,418
Total current assets	**21,004**	**22,554**	**24,579**	**48,331**	*96.6*	**32,998**	*-31.7*	**39,548**	**62,413**	**96,456**
Net tangible fixed assets	17,069	21,536	43,522	96,481	*121.7*	163,869	*69.8*	231,784	291,803	330,689
Net intangible fixed assets	62,261	62,230	62,207	62,274	*0.1*	62,274	*0.0*	62,274	62,274	62,274
Investments / other assets	34,050	34,656	38,053	44,062	*15.8*	41,171	*-6.6*	39,519	39,519	39,519
Total assets	**134,384**	**140,976**	**168,361**	**251,148**	*49.2*	**300,313**	*19.6*	**373,125**	**456,009**	**528,938**
Trade payables & other ST liabilities	19,029	20,939	25,372	34,641	*36.5*	41,337	*19.3*	59,550	76,806	88,539
Short term debt	4,061	10,605	7,271	9,887	*36.0*	9,887	*0.0*	9,887	9,887	9,887
Total current liabilities	**23,090**	**31,544**	**32,643**	**44,528**	*36.4*	**51,224**	*15.0*	**69,437**	**86,693**	**98,426**
Long term debt	86,420	76,264	85,297	124,718	*46.2*	124,718	*0.0*	149,718	164,718	164,718
Other long term liabilities	23,318	23,929	29,452	38,282	*30.0*	41,455	*8.3*	42,980	51,965	57,802
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**132,828**	**131,737**	**147,392**	**207,528**	*40.8*	**217,398**	*4.8*	**262,136**	**303,376**	**320,946**
Common s/h equity	**1,556**	**9,239**	**20,969**	**43,620**	*108.0*	**82,915**	*90.1*	**110,990**	**152,633**	**207,992**
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	**134,384**	**140,976**	**168,361**	**251,148**	*49.2*	**300,313**	*19.6*	**373,125**	**456,009**	**528,938**

Cash Flow (US$m)	05/23	05/24	05/25	05/26E	%ch	05/27E	%ch	05/28E	05/29E	05/30E
Net income (before pref divs)	12,756	13,005	12,779	17,082	*33.7*	21,318	*24.8*	29,147	42,005	55,175
Depreciation & amortisation	2,526	3,129	3,867	7,704	*99.2*	12,630	*63.9*	21,385	34,494	43,161
Net change in working capital	513	(488)	(1,500)	(2,574)	*-71.6*	2,869	-	5,919	6,124	4,707
Other operating	5,623	5,565	6,011	3,905	*-35.0*	5,896	*51.0*	6,496	5,704	6,304
Operating cash flow	**21,418**	**21,211**	**21,157**	**26,117**	*23.4*	**42,712**	*63.5*	**62,947**	**88,326**	**109,348**
Tangible capital expenditure	(8,695)	(6,866)	(21,215)	(54,530)	*-157.0*	(80,018)	*-46.7*	(89,299)	(94,513)	(82,047)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(27,721)	(63)	0	0	-	0	-	0	0	0
Other investing	(68)	(431)	(496)	3,194	-	0	-	0	0	0
Investing cash flow	**(36,484)**	**(7,360)**	**(21,711)**	**(51,336)**	*-136.5*	**(80,018)**	*-55.9*	**(89,299)**	**(94,513)**	**(82,047)**
Equity dividends paid	(3,668)	(4,391)	(4,743)	(5,729)	*-20.8*	(6,067)	*-5.9*	(6,189)	(6,314)	(6,441)
Share issues / (buybacks)	(108)	(460)	53	1,507	*NM*	1,089	*-27.7*	923	899	970
Other financing	(209)	(70)	124	93	*-25.0*	0	-	0	0	0
Change in debt & pref shares	11,686	(5,703)	5,788	49,258	*NM*	20,000	*-59.4*	25,000	15,000	0
Financing cash flow	**7,701**	**(10,624)**	**1,222**	**45,128**	*NM*	**15,022**	*-66.7*	**19,734**	**9,585**	**(5,471)**
Cash flow inc/(dec) in cash	**(7,365)**	**3,227**	**668**	**19,909**	*NM*	**(22,283)**	-	**(6,618)**	**3,398**	**21,830**
FX / non cash items	(4,350)	(2,753)	(126)	600	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	**(11,715)**	**474**	**542**	**20,509**	*NM*	**(22,283)**	-	**(6,618)**	**3,398**	**21,830**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

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Oracle Corporation (ORCL.N)

Valuation (x)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
P/E (local GAAP, diluted)	17.6	24.9	35.2	42.2	35.8	26.7	18.9	14.7
P/E (UBS, diluted)	15.8	20.6	26.0	32.9	29.6	22.7	16.7	13.2
P/CEPS	13.3	16.9	21.0	22.0	18.0	12.7	8.8	7.0
Equity FCF (UBS) yield %	5.8	4.5	0.0	(3.9)	(5.2)	(3.7)	(0.9)	3.8
Dividend yield (net) %	1.7	1.4	1.1	0.8	0.8	0.8	0.8	0.8
P/BV	NM	34.4	20.8	15.1	8.4	6.4	4.8	3.6
EV/revenues (core)	5.1	6.6	8.2	NM	8.7	6.4	4.6	4.0
EV/EBITDA (UBS core)	10.9	13.4	16.2	20.6	14.9	11.1	7.8	6.3
EV/EBIT (core)	12.2	15.2	18.7	26.1	19.9	15.8	11.7	9.5
EV/OpFCF (core)	17.3	18.1	61.0	NM	NM	NM	94.7	17.5
EV/op. invested capital	3.9	4.2	5.0	6.0	4.2	3.4	2.7	2.4

Enterprise value (US$m)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Market cap.	221,266	316,951	435,760	720,312	720,312	720,312	720,312	720,312
Net debt (cash)	33,116	33,116	33,116	92,129	92,129	140,986	140,986	157,482
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**254,382**	**350,066**	**468,876**	**812,441**	**812,441**	**861,297**	**861,297**	**877,793**
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	**254,382**	**350,066**	**468,876**	**812,441**	**812,441**	**861,297**	**861,297**	**877,793**

Growth (%)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Revenue	17.7	6.0	8.4	17.4	28.4	44.4	37.6	19.4
EBITDA (UBS)	8.6	11.7	10.4	26.1	38.1	43.1	43.0	24.9
EBIT (UBS)	6.7	10.3	8.6	14.8	31.2	34.3	35.2	24.8
EPS (UBS, diluted)	4.5	8.6	8.4	24.4	11.4	30.0	36.5	26.3
Net DPS	7.2	18.2	6.3	17.6	(0.6)	(0.5)	0.0	0.0

Margins & Profitability (%)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Gross profit margin	74.0	72.8	72.0	67.0	63.0	55.7	51.8	51.7
EBITDA margin	46.9	49.4	50.4	54.1	58.2	57.7	59.9	62.7
EBIT (UBS) margin	41.8	43.5	43.6	42.6	43.6	40.5	39.8	41.6
Net earnings (UBS) margin	28.4	29.7	30.1	32.5	29.8	27.4	27.8	30.0
ROIC (EBIT)	32.2	27.6	26.7	23.1	21.3	21.3	23.3	25.3
ROIC post tax	26.9	22.3	21.4	18.6	17.1	17.1	18.7	20.4
ROE (UBS)	<-500	291.0	114.4	67.8	40.8	35.3	36.2	34.1

Capital structure & Coverage (x)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Net debt / EBITDA	3.4	2.9	2.8	2.8	2.5	2.2	1.6	1.1
Net debt / total equity %	NM	NM	NM	235.9	151.0	141.3	110.3	70.5
Net debt / (net debt + total equity) %	98.1	89.2	79.5	70.2	60.2	58.6	52.5	41.3
Net debt/EV %	26.4	22.4	16.8	11.3	14.0	16.4	18.9	17.9
Capex / depreciation %	NM	NM	NM	NM	NM	NM	NM	190.1
Capex / revenue %	17.4	13.0	NM	NM	NM	NM	NM	NM
EBIT / net interest	5.3	6.4	7.1	18.8	6.7	6.3	7.4	9.4
Dividend cover (UBS)	3.8	3.5	3.6	3.8	4.2	5.5	7.5	9.5
Div. payout ratio (UBS) %	26.2	28.4	27.9	26.4	23.7	18.1	13.3	10.5

Revenues by division (US$m)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Others	49,955	52,961	57,399	67,374	86,506	124,894	171,842	205,117
Total	**49,955**	**52,961**	**57,399**	**67,374**	**86,506**	**124,894**	**171,842**	**205,117**

EBIT (UBS) by division (US$m)	05/23	05/24	05/25	05/26E	05/27E	05/28E	05/29E	05/30E
Others	20,904	23,054	25,034	28,727	37,686	50,622	68,459	85,420
Total	**20,904**	**23,054**	**25,034**	**28,727**	**37,686**	**50,622**	**68,459**	**85,420**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

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Forecast returns

Forecast price appreciation	15.3%
Forecast dividend yield	0.8%
Forecast stock return	16.1%
Market return assumption	9.0%
Forecast excess return	7.1%

Company Description

Oracle is one of the world's largest and most profitable software companies, with $50bn in FY23 revenue and around 164,000 employees. It is a leading provider of database, middleware, business application software, and cloud infrastructure, as well as engineered software/hardware systems used by large enterprises and public organizations of all sizes around the world. ORCL is headquartered in Austin, Texas and went public in 1986.

Valuation Method and Risk Statement

Our price target is based on an EPS multiple. Risks to our price target to the upside include greater-than-expected market share gains from Workday and SAP leading to Oracle's topline metrics improving and multiple re-rating, while risks to the downside include Oracle's recent sales re-organization creating execution risk and potentially slipped deals leading to Oracle disappointing on near-term expectations, limited traction with Oracle's Cloud offering and tougher competition.

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Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Oracle Corporation

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	5
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	N/A
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	54%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 31 March 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:Forecast Stock Return (FSR) is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

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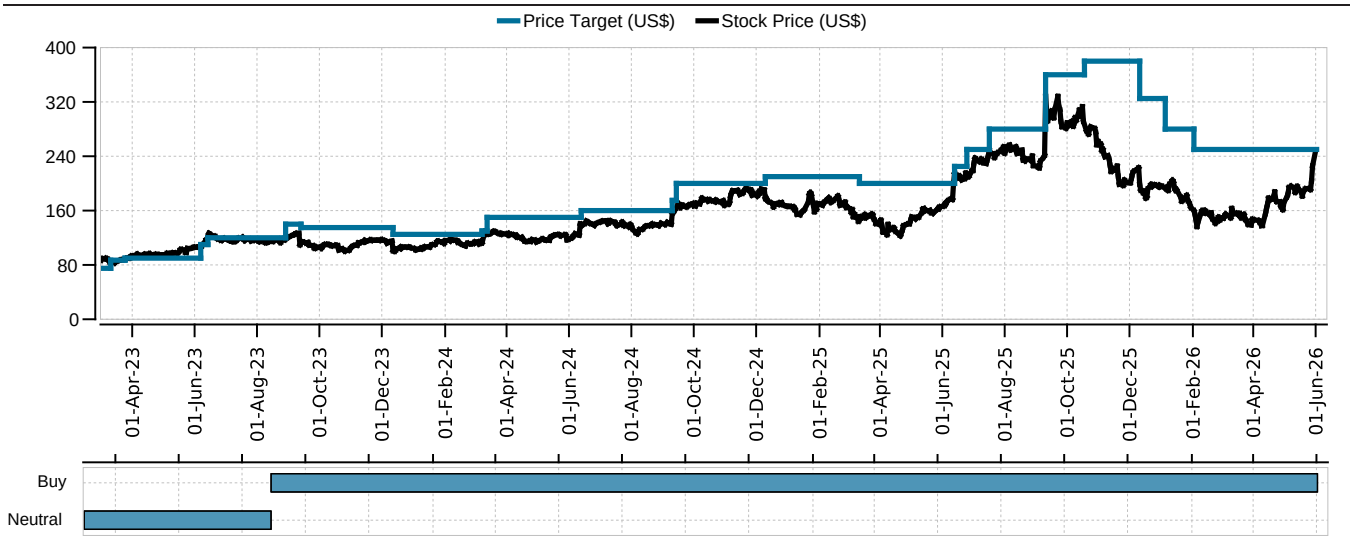
Company Name	Reuters	12-month rating	Price	Price date
Oracle Corporation[16,28,7]	ORCL.N	Buy	US$248.15	01 Jun 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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Oracle Corporation (US$)



Date	Stock Price (US$)	Price Target (US$)	Rating
2023-03-01	86.34	75.00	Neutral
2023-03-10	84.07	87.00	Neutral
2023-03-24	88.01	90.00	Neutral
2023-06-06	107.10	110.00	Neutral
2023-06-13	116.68	120.00	Neutral
2023-08-28	116.84	140.00	Buy
2023-09-12	109.61	135.00	Buy
2023-12-11	115.13	125.00	Buy
2024-03-07	114.54	130.00	Buy
2024-03-12	127.54	150.00	Buy
2024-06-12	140.38	160.00	Buy
2024-09-09	139.89	175.00	Buy
2024-09-13	162.03	200.00	Buy
2024-12-09	190.45	210.00	Buy
2025-03-11	144.18	200.00	Buy
2025-06-12	199.86	225.00	Buy
2025-06-24	215.27	250.00	Buy
2025-07-16	241.30	280.00	Buy

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Date	Stock Price (US$)	Price Target (US$)	Rating
2025-09-09	241.51	360.00	Buy
2025-10-17	291.31	380.00	Buy
2025-12-10	223.01	325.00	Buy
2026-01-04	195.71	280.00	Buy
2026-02-01	164.58	250.00	Buy

Source: UBS Global Research; LSEG Eikon as of 01-Jun-2026. All prices as of local market close. Ratings as of date shown.

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